EXECUTIVE SUMMARY

A. Introduction

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA", which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 25,405 and based on the statistics of the last election, a total of 15,133 were registered voters.

For CY 2020, the Municipality of Piat had a total of 165 personnel complement, with 81 permanent, 12 elective, 3 co-terminus, 9 casual employees and 60 job order.

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year-ended December 31, 2020, with comparative figures for CY 2019 are as follows:

	2020	2019	Increase/(Decrease)
Financial Position			
Total Assets	264,688,240.77	270,870,370.35	(6,182,129.58)
Total Liabilities	50,748,044.56	65,800,080.02	(15,052,035.46)
Total Government Equity	213,940,196.21	205,070,290.33	8,869,905.88
Financial Performance			
Total Income (Includes Subsidy from Other Funds)	128,078,058.98	109,781,838.79	18,296,220.19
Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	115,803,611.92	100,488,671.36	15,314,940.56
Appropriations, Allotments and Obligations			
Total Appropriations-Current	168,164,582.00	122,912,764.00	45,251,818.00
Total Obligations	97,846,951.87	88,756,293.13	9,090,658.74
Appropriations-Continuing	37,707,897.51	45,680,554.73	(7,972,657.22)
Obligations-Continuing	25,447,631.45	24,659,757.11	787,874.34

In CY 2020, the Municipality of Piat received funds from other government agencies totaling P57,835,730.00 and there had been no transferred funds to barangays:

Funds Received from:	2020	2019	Increase/(Decrease)
National Government Agencies (NGAs)	**57,735,730.00**	**9,312,500.00**	**48,423,230.00**
Local Government Units	**1,100,000.00**	**8,000,000.00**	**(6,900,000.00)**
Non-Government Organizations/People's Organizations (NGOs/POs)	-	-	-
Others	-	-	-
Total	**58,835,000.00**	**17,312,500.00**	**41,523,230.00**

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Piat for the year ended December 31, 2020 due to deviations from prescribed procedures and non-compliance with rules and regulations resulting in accounting deficiencies, thus, affecting the financial statements.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **The Cash in Bank - Local Currency, Current Account totalling to P125,372,346.41 presented in the financial statements is doubtful due to the non-presentation & non-recording of reconciling items in the Bank Reconciliation Statements in the books and non-adjustment of stale checks, which are contrary to Section 112 of PD 1445 and other existing standards, rules and regulations.**

   We reiterated our recommendation that the Management:

   a. Require the Municipal Accountant to cause the immediate preparation of adjusting journal entries to identify and record all reconciling items identified in the Bank Reconciliation Statements; and

   b. Instruct the Municipal Accountant and the Municipal Treasurer to cancel the stale checks after exhaustion of all remedies such as written notices to the payees and the submission of corresponding DVs and supporting documents. If cancellation is not possible despite written notices, the corresponding amounts of the stale checks may be reverted back to the book balances with the recording of accounts payable.

2. **One-time cleansing of Property, Plant and Equipment account balances was not undertaken contrary to COA Circular 2020-006 dated January 31, 2020 due to non-conduct of physical count of PPE, thus, the accuracy of the PPE account in the financial statements amounting to P119,023,989.99 cannot be verified.**

   We recommended that the Management comply strictly with the prescribed controls over PPE as provided for in pertinent laws, rules and regulations. We also recommended to Management the following:

   a. Create an Inventory Committee to conduct physical inventory of all PPEs of the LGU, whether acquired through purchase or donation, including those constructed by administration and found at station pursuant to COA Circular 2020-006 dated January 31, 2020;

   b. Update the property records based on the results of physical inventory, and reconcile with accounting records thru the Inventory Committee created;

   c. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

   d. Direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE after the inventory taking pursuant to the Section 269 of the GAM for LGUs.

3. **The account Due to NGAs totalling to P8,820,652.36 could not be relied upon due to the presence of negative balances in some accounts aggregating to P122,171.70 and absence of accounting records, contrary to Section 111 of PD 1445 and COA Circular No. 94-013 dated December 13, 1994.**

   Moreover, funds transfers from various government agencies amounting to P1,381,796.16 remained outstanding in the LGU books and were still not reverted to the Source Agencies or National Treasury, contrary to COA Circular No. 94-013 dated December 13, 1994 and the principles of sound internal control.

   We recommended that the Management:

   a. Instruct the Municipal Accountant to reconcile with the Accountants of the different Source Agencies for all funds received to determine the correct balances still due for liquidation; and

   b. Require the Municipal Accountant to review all existing fund transfers and return all unused or unexpended balance upon completion of the project, if any.

E. Summary of Total Suspensions, Disallowances and Charges

As of December 31, 2020, the Municipality of Piat, Cagayan has unsettled disallowances totaling to P1,397,303.29. There were no issued Notices of Suspension, Notices of Disallowance and Notices of Charge for the year. The details of unsettled disallowances are as follows:

Date	ND No.	PAYEE/PAYOR	Outstanding Balance as of 12/31/2020
02/06/2014	ND No. 2014-101-001 (2013)	Various	122,800.00
02/06/2014	ND No. 2014-101-002 (2013)	Various	422,000.00
27/08/2015	ND No. 2015-101-001 (2014)	Various	53,440.79
28/09/2016	ND No. 2016-101-001(2013)	various	299,062.50
19/03/2018	ND No. 2018-101-001-(2013)/(2016)	Ms. Josefina B. Mamba and VM Leonel C. Guzman	500,000.00
TOTAL			**1,397,303.29**

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the 20 audit recommendations embodied in the CY 2019 Annual Audit Report, ten (10) were implemented, eight (8) were partially implemented and two (2) were not implemented.